

09 Equity and property markets

3 primary questions | Oldest to newest

2026 objectives: 2.3.1-2.3.2

3 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 | September 2007 | Q4 15 marks

CA1-P2 | April 2014 | Q6 26 marks

CA1-P2 | April 2017 | Q1 9 marks

CA1-P2 | September 2007 | Q4

[Current topic](#) | [15 marks total](#) | [Original PDF p2](#)

Related: Ch 13.

- 4**
- (i) List the investment characteristics of direct property investment. [7]
 - (ii) Discuss how the returns on direct property compare with those on property company shares. [8]
- [Total 15]

CA1-P2 | April 2014 | Q6

Current topic | 26 marks total | Original PDF p3

Related: Ch 12, Ch 11.

- 6** The shares of the following companies are listed on the stock exchange of a large developed country:

Company A: A large oil exploration, refining and retailing company. The company operates numerous drilling sites in many locations throughout the world. They supply a wide range of oil-based products to many worldwide industrial and individual customers.

Company B: A manufacturer of a wide range of consumer goods. The company has significant sales in the developed country with a smaller presence in other developed markets. For several years they have been making losses. They have recently closed most of their production plants in the developed country and re-located them to a fast growing developing country.

Company C: A security consultancy. The company specialises in supplying security advisers and personnel to overseas governments, companies and individuals. Most such personnel are former members of the armed forces of the developed country. The consultancy's business is generally short-term contracts with options to renew.

- (i) Discuss for each company, the key factors that could have the most impact on the level of profits arising over the next few years. [10]
- (ii) Suggest one external political shock for each company that could significantly affect (favourably or not) the expected level of such profits. [3]
- (iii) Outline how a discounted dividend model could, in general, be used to place a value on an ordinary share. [3]
- (iv) Explain for each company why the discounted dividend model may not be an appropriate method for valuing their shares. [4]

A large financial institution manages the equity investments of a wide range of clients from the developed country including pension funds and individual investors. The institution has analysed the shares of the above three companies and has concluded that they all represent good value with potential for high future investment returns. However, they have decided that none of the shares would be suitable investments for their portfolios.

- (v) Explain why the institution may have decided not to buy each of these particular shares. [6]

[Total 26]

CA1-P2 | April 2017 | Q1

Current topic | 9 marks total | Original PDF p2

Related: Ch 14.

- 1** An individual has received an inheritance and has £500,000 to invest. He is interested in investing in the property market and particularly in accommodation available for students to let. The following three investments have been suggested:
- (a) a house that can be let to a group of students
 - (b) a number of rooms in high quality purpose-built student accommodation that are maintained to a high standard
 - (c) a fund that invests in and manages a number of student halls of residence

Discuss the characteristics and suitability of these three investments. [9]